

KatNip

The capital expenditure (capex) on machinery to manufacture the Product is \$50.0MM on 03/03/2024. The machinery will be in place and ready to manufacture the product starting in Q3 2024. The Company is anticipating selling 50,000 units every 6 months with a per-unit profit of \$150 (the "Unit Profit Price"), with the first cash flow distribution occurring on 12/31/2024 for the units sold from 7/1/2024 to 12/31/2024. Assume that every six months, the units sold increase by 5,000. Additionally, there is a one-time maintenance expense of \$10.0MM on 8/12/2026 during the forecast period.

Use the MM/DD/YYYY date format for all dates.

The patent runs for approximately 4 years until it expires (last cash flow distribution on 6/30/2028), at which point the Company sells its assets ("Sale Value") on 12/31/2028 for \$10MM.